MERTON WEEKLY MACRO·MICRO·GEOPO BRIEF
Sunday June 14, 2026 - Week 24

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1. GLOBAL MACRO

Central Banks

*Fed (US) - Warsh Regime in Place:**
Kevin Warsh has taken the helm of the Fed amid a profound regime change. The former Fed governor (2006-2011), a Trump ally, has made his first hires including a Project 2025 author - a strong signal of political alignment. The market is currently pricing rates held at 5.25-5.50% for an extended period. The May ADP report surprised to the upside (+122K), April job openings surged to 7.6M (highest in 2 years), and core PCE reached 3.3% in April. The Fed is trapped: inflation remains anchored above 3% while the labor market shows signs of overheating. Governor Bowman warned against hiking rates despite the inflation spike, acknowledging the risk of second-round effects. The market is no longer pricing any cuts in 2026 - a major paradigm shift from 3 months ago.

*ECB - Extended Pause at 2.25%:**
The ECB will hold the deposit rate at 2.25% this week. Eurozone core inflation stands at 2.5%, still above target, and headline inflation at 3.2%. ECB Governing Council member Nagel warned that prices are likely to remain elevated even if the Iran-Israel conflict resolves - the energy transmission channel is already activated. Eurozone growth remains anemic at 0.3% YoY, with Germany in technical stagnation. The ECB is in an uncomfortable position: neither hawkish nor dovish, simply paralyzed.

*BoE - Cautious After 100 Days of War:**
The BoE remains on hold, maintaining a cautious bias. The UK faces persistent inflation and a pound sterling under pressure (1.3408 vs dollar). Analysts warn that UK assets are underpricing the risk of a Burnham victory over Starmer, which could imply a more expansionary fiscal policy and additional pressure on gilts.

US Macro

The US economy presents a contrasting but overall resilient picture:

S&P 500: 7,431 (+0.6% on the week, +1.1% on the month). The index rebounded from 7,267 to 7,431 after Tuesday's correction, driven by the US-Iran deal announcement.
Core PCE: 3.3% in April (as expected) - core inflation refuses to decline.
Employment: May ADP at +122K (expected +110K), April openings at 7.6M. The labor market is tight.
ISM Manufacturing: 49.0 (below 50 = contraction) - the manufacturing sector remains in contraction territory for the 3rd consecutive month.
Consumer Confidence: 48.9 - in free fall, at its lowest in years. Households are stressed by persistent inflation and energy prices.
Housing: Housing Starts at 1.35M (annualized), Existing Home Sales at 4.04M - the housing market remains sluggish with elevated mortgage rates.
Retail Sales: +0.5% in May - consumption resilience despite household pessimism.
Trade Balance: -$55.9B in April - the trade deficit is widening.

Europe

The eurozone is stagnating:

GDP: +0.3% YoY - near-zero growth.
Inflation: 3.2% (core 2.5%) - still above ECB target.
Manufacturing PMI: 49.0 - persistent industrial contraction.
Unemployment: 6.3% - relatively low but masking disparities (Germany rising, Spain still elevated).
ZEW Economic Sentiment: to watch this week - leading indicator of German investor sentiment.

China / Asia

China is accelerating its de-dollarization efforts:

GDP: +5.2% YoY - official growth remains solid but doubts persist on data quality.
CPI Inflation: 1.2% - near-deflation in the manufacturing sector.
M2 Money Supply: +8.6% in May - the central bank is injecting liquidity.

Loan Growth: +5.5% - credit remains weak despite stimulus.
PBoC: holding Loan Prime Rate - the PBOC is in wait-and-see mode.

*Major announcement**: China is preparing a digital payments system to compete with the dollar - a strong geopolitical signal in the ongoing monetary war.

Commodities

WTI: 84.88 (+7.5% on the week) - Middle East escalation has pushed oil above $80.
Brent: 87.33 (+7.2% on the week) - Brent has crossed $85 for the first time in months.
Gold: 4,238.80 (-5.3% on the week) - sharp correction despite geopolitical context, traders betting on higher-for-longer US rates.
Silver: 67.97 (+2.1% on the week) - relative outperformance, Au/Ag ratio compressing.
Copper: 6.45 (+12% on the month) - copper benefiting from the reflation thesis and AI/data center demand.

Dollar / FX

DXY: 99.81 (+0.6% on the week) - dollar strengthening on rate differential.
EUR/USD: 1.1573 (-0.4%) - euro under pressure, the ECB cannot afford to be hawkish with 0.3% growth.
GBP/USD: 1.3408 (-0.3%) - pound suffering from domestic political risk.
USD/JPY: 160.19 (+0.8%) - yen collapsing, BoJ is the most dovish central bank in the G7.
USD/CHF: 0.7964 (+0.2%) - Swiss franc remains a stability anchor.

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2. MICRO & MARKETS

Earnings Season

Q2 2026 earnings season is winding down. Results have been broadly solid, driven by tech and AI. Beats are frequent but guidance is cautious - companies are factoring geopolitical risk and tariff uncertainty into their forecasts.

Sectors & Rotations

*AI & Tech - The Dominant Theme:**
SpaceX completed the largest IPO in history at $75B, with a first trading day gain of +19%. This is a historic moment for the markets.
Perplexity announces IPO in 2028 - the AI ecosystem continues to financialize.
Mistral ($14B) positions itself as Europe's AI challenger.
Nokia bets on AI-powered networks.
Over 80% chance SpaceX merges with Tesla within a year per Wedbush - the tech consolidation theme is launched.

*Sector Rotations:**
Energy: massive outperformance this week (+7-8%) with oil surging.
Defense: Anduril calls for a reset of US arms export controls - the global rearmament theme accelerates.
Metals: copper outperforms on the structural demand thesis (AI, data centers, electrification).
Gold: paradoxical underperformance - gold corrects despite geopolitical risk because US real rates are rising.

Valuations & Sentiment

S&P 500 P/E: ~20.7x - above historical average (16x), justified by AI earnings growth but vulnerable to a rate shock.
VIX: 17.68 - moderate, the market is not in panic mode despite geopolitical tensions.
Consumer Confidence: 48.9 - the lowest in years. The gap between household sentiment and market performance is abyssal.

Credit & Bonds

US 10Y: 4.49% - long rates remain elevated, the market pricing a high-for-longer scenario.
US 30Y: 4.98% - the curve remains inverted (30Y > 10Y > 5Y), a signal of sovereign debt stress.
CLO ETFs: boom in CLO ETFs on rising rates and private credit woes - a stress signal in shadow banking.

Credit Spreads: remain tight despite tensions - the credit market is not pricing a recession.

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3. GEOPOLITICS

Hot

*Iran-Israel War - Day 100:**
The conflict between Iran and Israel reaches its 100th day with an intensification of mutual attacks. The US and Iran have escalated strikes while the ceasefire frays and peace talks stall. However, Trump announces he will sign a deal Sunday to reopen the Strait of Hormuz - if this materializes, it would be a game-changer for energy markets. Rubio defends the blockade after India protests US strikes. The situation remains extremely volatile.

*Strait of Hormuz - The Chokepoint:**
The Strait of Hormuz, through which approximately 20% of the world's oil transits, is at the center of tensions. Any prolonged blockade could send oil prices above $100. The market is currently pricing a partial resolution scenario (WTI at $85).

Watch

*G7 in France - Macron and Trump Test Their Bruised Bromance:**
The G7 summit in France brings together world leaders in a context of trade and geopolitical tensions. Trump meets Middle Eastern partners on the sidelines. Macron and Trump test their personal relationship strained by disagreements on Iran, trade, and Ukraine.

*Trump and Tariffs - New Round:**
The US proposes fresh tariffs on 60 economies over forced labor trade practices. This is part of the broader trade war waged by the Trump administration.

*Ukraine - IMF Agreement:**
IMF staff reached an agreement with Ukraine on a $690M loan. This maintains financing for the war-torn country, but amounts remain insufficient relative to needs.

Positive

*SpaceX IPO - Historic Success:**
SpaceX's IPO at $75B is the largest in history. The stock gained 19% on day one. A signal of confidence in the real economy of AI and space.

*UK-Japan - Energy Deal:**
The UK and Japan plan to sign an £18B clean energy investment deal - strengthened bilateral cooperation post-Brexit.

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4. WEEK AHEAD CALENDAR

Key Events This Week:

Day	Key Event	Impact
Monday	China Data Dump (Industrial Pr	
Tuesday	US Housing (Building Permits,	??
Wednesday	EU CPI Final (exp. 3.2%) + **F	
Thursday	**ECB Rate Decision** (hold at	
Friday	ZEW Germany, Wage Growth Q1	??

Key Events:

ECB Rate Decision (Thursday) - hold expected at 2.25%, pressure on press conference.

Fed Chair Warsh speech (Wednesday) - first indications of policy direction under new leadershi

China data dump (Monday) - Industrial Production, Retail Sales, FAI - test of Chinese resilience.

EU CPI Final (Wednesday) - confirmation of inflation at 3.2%.

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5. THESIS & CONNECTIONS

Non-Obvious Connections

*1. Gold falls despite war - the real driver is real rates:**
Most analysts expected gold to outperform in the event of Middle East escalation. The opposite happened: gold corrected 5% this week. Why? Because US real rates (10Y - inflation) have surged above 2.5%. The market has understood that the Iran-Israel war, far from triggering rate cuts, will instead keep them higher for longer via the energy inflation channel. This is a fundamental regime change for gold.

*2. SpaceX IPO + AI boom = financialization of the real AI economy:**
SpaceX's $75B IPO is not just a tech event - it's the signal that AI is moving from the R&D phase to the large-scale monetization phase. SpaceX (space + connectivity) + Tesla (robotics + energy) + Perplexity (AI search) = an integrated ecosystem. Consolidation is inevitable.

*3. Copper outperforms gold - reflation signal:**
Copper gained 12% on the month while gold corrects. This divergence is a powerful signal: the market is pricing a reflation scenario (growth + inflation) rather than risk-off. Copper is the barometer of the real economy, and it says that structural demand (AI, data centers, electrification) outweighs geopolitical fears.

Macro Thesis of the Week

*The world is entering a "stagflation light" regime:**
Inflation remains anchored above central bank targets (US core PCE 3.3%, EU CPI 3.2%) while growth slows (EU GDP 0.3%, US ISM Mfg 49.0). The war in the Middle East adds upward pressure on energy which will only worsen the central banks' dilemma. The Fed cannot cut rates with 3.3% inflation and a tight labor market. The ECB cannot tighten with 0.3% growth. The result: a world of prolonged high rates, sluggish growth, and geopolitical volatility. This is the worst of all worlds for risky assets in the medium term.

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6. TRADE IDEAS

Macro-Driven

*1. Long Copper / Short Gold (ratio trade):**
Thesis: Copper benefits from structural AI/electrification demand while gold suffers from elevated real rates. The Cu/Au ratio is at historically low levels.
Direction: Long HG (copper) / Short GC (gold)
Entry: Current Cu/Au ratio ~0.00152
Target: Ratio 0.00170 (+12%)
Invalidation: Ratio falls below 0.00140 (major geopolitical escalation)

*2. Long USD/JPY - carry trade:**
Thesis: The US-Japan rate differential is enormous (5.25% vs 0.5%). The BoJ is the most dovish in the G7. The yen is undervalued in real terms.
Direction: Long USD/JPY
Entry: 160.19
Target: 165.00 (+3%)
Invalidation: 155.00 (BoJ intervention or geopolitical de-escalation)

*3. Short EUR/USD - ECB/Fed divergence:**
Thesis: The ECB is dovish with 0.3% growth, the Fed is hawkish with 3.3% inflation. The monetary policy differential favors the dollar.
Direction: Short EUR/USD
Entry: 1.1573
Target: 1.1300 (-2.4%)
Invalidation: 1.1800 (hawkish ECB surprise or Iran de-escalation)

Geopolitical

*4. Long Oil Call Spreads (WTI):**

Thesis: The risk of prolonged Strait of Hormuz blockage is underpriced. Options do not fully reflect the risk of a spike above $100.
Direction: Buy WTI Jul 90-100 calls
Target: WTI > $95 ? 3-5x gain
Invalidation: Effective peace deal ? WTI < $75

Play of the Week

*5. Long Energy (XLE) / Short Bonds (TLT) - the stagflation trade:**
Thesis: Stagflation light is the central scenario. Energy benefits from geopolitical tension and demand, while bonds suffer from elevated rates and persistent inflation.
Direction: Long XLE / Short TLT
Target: XLE +5%, TLT -3% over 2 weeks
Invalidation: Iran deal effective + dovish Fed ? XLE -5%, TLT +3%

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7. RISKS & VIGILANCE

? Bullish Risks

1. **Effective US-Iran peace deal** - if the Strait of Hormuz is reopened, oil plunges, rates fall, risk-assets soar. S&P could test 7,600+.
2. **AI earnings beat** - if Q2 results confirm AI monetization, the tech momentum continues.
3. **Major China stimulus** - if the PBOC announces massive stimulus (LPR cut, fiscal expansion), commodities and EM markets rally.

Bearish Risks

1. **Iran-Israel escalation - Strait of Hormuz blockade** - if the strait is effectively blocked, oil exceeds $100, inflation explodes, central banks tighten, and risk-assets correct 10-15%.
2. **Fed Warsh hawkish** - if Warsh signals tightening in his speech, long rates explode (10Y > 5%), tech corrects, and VIX exceeds 30.
3. **US consumption collapse** - consumer confidence at 48.9 is a warning signal. If May retail sales show a slowdown, the market may reprice economic resilience.
4. **Shadow banking crisis** - the CLO ETF boom and private credit difficulties could reveal vulnerabilities in the non-bank financial system.
5. **China contagion** - if Monday's data shows a significant slowdown, the risk of contagion to EM and commodities is real.

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8. INSIGHT OF THE WEEK

The gold paradox: why the yellow metal no longer protects against war

Gold corrected 5% this week despite the most serious Middle East escalation in decades. Most investors are perplexed. But in reality, the market is redefining gold's role in the modern portfolio.

Historically, gold was the ultimate safe haven in times of geopolitical crisis. But this paradigm rested on a context of low or negative real rates. Today, US real rates (10Y breakeven) are above 2.5% and rising. The opportunity cost of holding gold (which yields nothing) is therefore high and increasing.

The real driver of gold in 2026 is no longer geopolitical risk - it's monetary policy. And monetary policy has turned hawkish because of... geopolitical risk itself (energy inflation). It's a vicious circle: war ? energy ? inflation ? rates ? gold declines.

What could reverse this dynamic: a Fed that pivots dovish despite inflation (which Warsh does not seem ready to do), or a financial crisis that forces emergency QE. In the meantime, gold is trapped between two opposing forces, and real rates are winning.

*Portfolio implication**: copper has replaced gold as the preferred geopolitical hedge. Copper benefits from both structural demand (AI, electrification) and the reflation thesis. The Cu/Au ratio is at historically low levels and should normalize.

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Sources: Yahoo Finance API (real-time prices), Bloomberg RSS (markets, economics, politics), FT RSS (home, markets), CNBC (world, fed, economy, oil, gold), Trading Economics (US/EU/China calendar, macro data), Oilprice.com*

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